have long timelines, especially in areas like aircraft and submarines, where delays are routine.

Supply chains are also complex, so revenue depends on production capacity, component availability, testing, acceptance, and delivery schedules. Still, rising order book numbers are a magnet for investors, and that's driving defence company valuations higher. The Nifty India Defence index is up roughly 22% in 2026, even as the Nifty has dipped around 9%.

Bodhisattwa Sanghapriya, Founder & CEO, IG Defence, says the company's revenue grew 3.7x in FY26 due to a structural shift in policy. "Positive indigenisation lists, iDEX, the Buy Indian-IDDM preference, and emergency procurement powers have made indigenous systems the first choice for the forces. Operation Sindoor showed how central drones and counter-drone systems are to modern warfare, and orders moved from trial quantities to volumes," says Sanghapriya. IDDM stands for Indigenously Designed, Developed, and Manufactured.

Restrictions on foreign-origin components in military drones have also rewarded companies that invested early in indigenous supply chains. "IG Defence owns its design and software rather than assembling imported kits. Our margins widen as volumes grow. At the centre of the growth will be our AI-powered battle management platform and one-way long-range strike drone KAL," he says.

Astra Microwave, with a standalone order book of ₹2,156 crore, is progressively moving towards higher-value subsystems and systems while continuing to deepen its core expertise in RF, microwave and strategic electronics.

"Radar will remain a major area for us. We see opportunities across airborne, ground-based, naval and specialised radar programmes. Electronic warfare, seekers, data links, communication systems, counter-UAS (unmanned aerial system) technologies and other advanced RF applications will also become increasingly important," says Reddy.



"I see the next decade being defined by three things: greater indigenous design content, Indian companies taking responsibility for larger & more complex systems, and a stronger export orientation"

MV REDDY
MD, Astra Microwave



"Policy is a tailwind here too: export promotion, defence lines of credit, and defence attachés actively pitching Indian systems have opened doors that didn't exist five years ago"

BODHISATTWA SANGHAPRIYA
Founder & CEO, IG Defence

FUTURE GROWTH

Private sector companies account for nearly half of India's defence exports, even though they are only about 24% of domestic defence production. According to Astra Microwave, the second important growth engine will be exports, and India cannot build a globally competitive defence industrial base purely on domestic demand.

"Companies need sufficient domestic scale to develop and qualify products, and thereafter they must compete internationally. Therefore, I see the next decade being defined by three things: greater indigenous design content, Indian companies taking responsibility for larger and more complex systems, and a stronger export orientation," says Reddy.

"Policy is a tailwind here too: export promotion, defence lines of credit, and defence attachés actively pitching Indian systems have opened doors that didn't exist five years ago. The next phase depends on export approvals keeping pace with that demand from the international market," says Sanghapriya.

Reddy says the next stage should focus increasingly on predictability, technology development and procurement speed.

"Industry will invest much more aggressively in manufacturing capacity, R&D and specialised infrastructure when there is reasonable visibility of procurement over five to ten years," he adds. BT

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